

EXPLAINER

Europe's Defence Buildup Is Reproducing the Problem It's Trying to Solve

Why spending without industrial architecture deepens dependency. Where the money is actually going, why the procurement flow problem and the fragmentation problem compound each other, and what an architecture-first approach requires.

Security Ireland

Explainer

IN BRIEF

European defence spending is rising rapidly, but increased expenditure without the industrial and institutional architectures to absorb it does not produce autonomy. It produces dependency—as the money flows to whoever already has the production architecture, which is predominantly the United States. This dynamic has two compounding failure modes: external dependency on American contractors, and internal fragmentation across twenty-seven separate European procurement systems.

This is structurally identical to a premature market failure: capital and political demand exist, but the surrounding system has not co-evolved to convert them into the intended output. European defence is experiencing a premature rearmament—a politically-driven spending surge into an industrial architecture that cannot yet absorb it productively. Increasing the budget does not resolve this; it amplifies it.

Genuine European defence autonomy requires an architecture-first approach: building European industrial capacity, harmonising procurement, and developing interoperability standards before or alongside spending increases. The sequencing is not incidental. Without it, increased spending accelerates dependency rather than resolving it. This matters for Ireland because its EU Council Presidency (July–December 2026) will shape the implementing rules for instruments like EDIP and SAFE—and because the coordination architecture argument is Ireland's strongest intellectual position in defence budget discussions.

Europe is spending more on defence than at any point since the Cold War, suggesting that the political will is present and that the financial commitments are finally real. And yet the strategic objective—genuine European defence autonomy, the capacity to ensure European security without dependence on a United States that has become an unreliable partner—is not being achieved. In many respects, the spending surge is moving Europe further from that objective, not closer to it.

Understanding why requires distinguishing between two things that look similar but are economically distinct: defence **spending** and defence **capability**.

The relationship between them is not automatic. It depends on the existence of industrial, supply-chain, and institutional architectures that convert expenditure into capability. When those architectures are absent or underdeveloped, spending does not produce the intended output. It flows to wherever the architecture already exists.

The procurement flow problem

When a European country increases its defence budget and procures equipment, the economic and strategic outcome depends entirely on where that procurement flows.

If it flows to European producers, it builds European industrial capacity, develops European workforce skills, funds European R&D, and creates the production architecture that makes future procurement progressively more autonomous.

If it flows to American producers, the effect is inverted: it builds American industrial capacity, funds American R&D, and deepens European dependence on supply chains that are outside European control.

Recent data indicate that an increasing share of European defence procurement has been flowing to American contractors. This is not a political preference but a reflection of industrial reality: American defence contractors have the production architecture, the existing platforms, and the delivery timelines that European procurement demands right now. European producers, in many cases, do not. Therefore, European money goes to American industry, and European military capability becomes progressively more dependent on American supply chains.

This dependency now has three dimensions that are beyond political dispute.

First, US defence production is under documented strain. Backlogs are acknowledged even by analysts aligned with the current administration—and European orders would be deprioritised behind American military demand in any real conflict.

Second, American weapons systems increasingly incorporate remote-disable capabilities. A European military dependent on American platforms is not, in any precise sense, autonomous.

Third, the current US administration has explicitly framed European economic activity as a target of competitive pressure. A security architecture that depends on a country that regards you as an adversarial economic competitor is not a security architecture.

Spain's Prime Minister made exactly this argument in refusing to commit to the 5 per cent target: that routing more European money through American contractors would not make Europeans safer, because it would only reinforce structural dependency on an increasingly unreliable supplier. That argument is industrially correct, even if it is politically inconvenient.

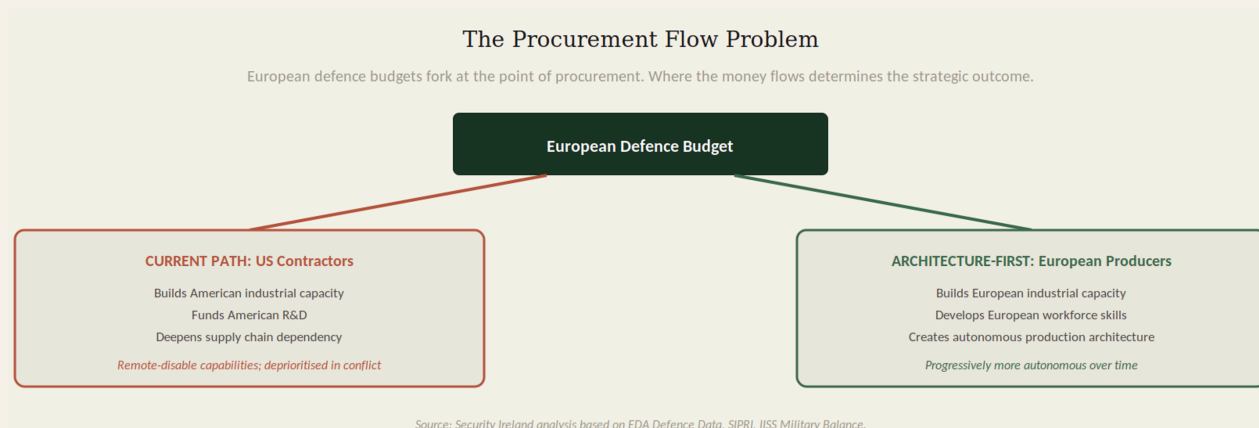


Figure 1: The procurement flow problem. European defence budgets fork at the point of procurement. The current path routes spending to US contractors, building American industrial capacity and deepening European dependency. An architecture-first approach redirects spending toward European producers.

The fragmentation problem

The external dependency problem compounds a separate structural failure: the fragmentation of European defence procurement across twenty-seven national systems.

The EU has twenty-seven member states, each with its own defence ministry, procurement process, and industrial policy. The result is a market that is, by any industrial logic, incoherent. European defence firms face twenty-seven separate certification regimes, twenty-seven separate requirements processes, twenty-seven separate procurement timelines. There is no single European defence procurement market—only twenty-seven small national ones, each too small to generate the economies of scale that American and, increasingly, Chinese defence producers achieve routinely.

This fragmentation produces compounding inefficiencies. It prevents European producers from achieving the production volumes that would make them cost-competitive with American alternatives. It prevents the standardisation of platforms and components that would make European forces interoperable with one another. And it prevents the formation of the stable demand signals

that would justify the capital investment required to build European production capacity at scale.

The result is a **structural trap**. European producers cannot compete on cost or delivery against American contractors because they cannot reach scale, and they cannot reach scale because European procurement is fragmented. European procurement remains fragmented because there is no institutional architecture for European defence market integration. And so European money flows to American contractors, the European industrial base remains underdeveloped, and the cycle reproduces.

The more Europe spends without building its own industrial architecture, the more entrenched its dependency becomes. Spending more through unreformed procurement channels is not a path to autonomy. It is the path away from it.

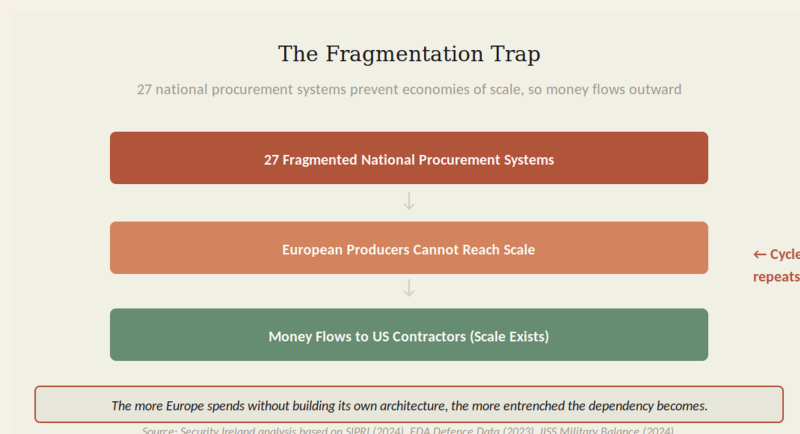


Figure 2: The fragmentation trap. Twenty-seven national procurement systems prevent economies of scale, so money flows to US contractors who already have the architecture. The cycle reproduces itself with each spending increase.

Two failure modes, one structural cause

The external dependency and internal fragmentation problems share a common structural origin: the absence of co-evolved industrial, market, and institutional architectures for European defence.

This pattern has a precise analogue in innovation economics. When financial capital and political demand exist for a technology, but the surrounding industrial and institutional architectures have not developed to absorb that capital productively, investment does not produce the intended output. Instead, it flows to wherever the architecture already exists, deepens dependency on that architecture, and leaves the underlying structural problem unresolved.

European defence is exhibiting exactly this dynamic. The political capital for rearmament is real. The financial

commitments are substantial. But the industrial architecture needed to convert those commitments into European capability—the production capacity, the coordinated procurement institutions, the common technical standards, the workforce pipelines—has not been built. Investment therefore flows to America, and dependency deepens.

This is not an argument against European defence spending. Rather, it is an argument about *sequencing*. Spending in the absence of industrial architecture is not neutral. It actively forecloses the development of that architecture by entrenching dependency on existing suppliers and by failing to generate the demand signals and production volumes that would justify capital investment in European alternatives.

What an architecture-first approach requires

An architecture-first approach to European rearmament would require four structural investments that are not currently being prioritised.

European procurement coordination. Creating the institutional machinery to aggregate European defence demand into a single market signal large enough to justify capital investment in European production capacity. This does not require a European army or the elimination of national procurement systems—but common certification standards, harmonised requirements processes, and coordinated procurement timelines across member states: the institutional preconditions for a functioning European defence market.

Directed industrial investment. Allocating capital specifically to building European production capacity in key platform and munitions categories. Not procurement subsidies for existing equipment, but investment in the actual manufacturing infrastructure and supply chains that make future procurement progressively more European and progressively less dependent on American or other external suppliers.

Interoperability standards. Accelerating the development and adoption of common technical standards across European armed forces—so that equipment produced in one member state can integrate with allied systems, and so that European procurement decisions reinforce rather than undermine collective capability.

Workforce development. Building the technical and operational workforce pipelines that make expanded defence production and capability sustainable over time. No industrial architecture functions without the human capital to design, produce, operate, and maintain it.

None of these are spending targets. But all of them are harder to implement than increasing national defence budgets. All require coordination across national governments in ways that are institutionally demanding. That is precisely why they have not been prioritised. The current approach—spending more through existing procurement channels—is the path of least resistance. It is also the path that reproduces the structural problem it is meant to solve.

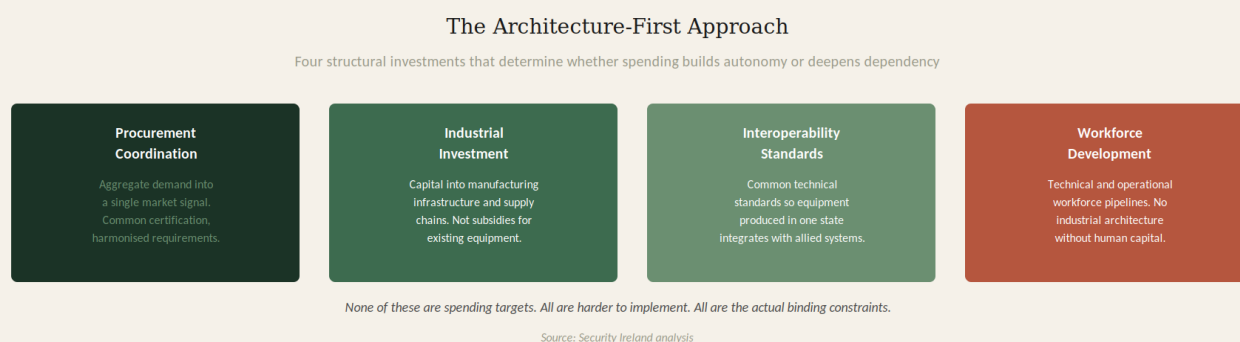


Figure 3: The architecture-first approach. Four structural investments determine whether European defence spending builds autonomous capability or deepens dependency. None are spending targets. All are the actual binding constraints.

Two trajectories

The question European governments face is not whether to spend more on defence—that decision has already been made, and it is the correct one. The question is whether to spend in ways that build the architectures required for that spending to translate into autonomous capability, or to continue spending through channels that entrench dependency.

Spain's argument—that the current spending framework would not produce European security—was dismissed as non-compliance. However, it deserves to be treated as a structural diagnosis. The architecture problem it identifies is real, it is tractable, and it is the binding constraint that European defence policy has not yet chosen to address.

Ireland chairs EU defence budget discussions during its Council Presidency from July 2026. The coordination architecture argument—that Europe's problem is not

whether it spends enough but whether twenty-seven procurement systems can convert spending into capability—is uniquely powerful coming from the lowest-spending member state, because it shifts the debate from metrics Ireland cannot win to structural analysis where Ireland's contribution is relevant. Ireland's own defence industrial policy (security clearances, industrial participation, export controls) is the domestic application of the same architecture-first logic. The EU Presidency is the window to make this argument at the European level while simultaneously building the domestic architecture that validates it.

Spending more through unreformed procurement channels is not a path to autonomy. It is the path away from it.

WHY THIS MATTERS NOW

Europe's €800 billion defence spending programme is being routed through unreformed procurement systems. Without architectural reform—procurement coordination, directed industrial investment, interoperability standards, workforce development—the spending surge will deepen American dependency rather than building European autonomy. The Ukraine ammunition crisis demonstrated this in real time: the money was committed but the production architecture did not exist. Ireland's Presidency is the window to shape the implementing rules for EDIP, SAFE, and the EDF in ways that prioritise architecture over expenditure.

SERIES CONTEXT

Part II of the European defence series. Part I (*NATO's Spending Targets Are Measuring the Wrong Thing*) examines why GDP-share metrics optimise for legibility over accuracy. This paper examines where the money is actually going. Together with Defence Financing Explained and Rearmament Financing Explained, these papers provide the complete European context for Ireland's domestic security transition and Presidency positioning.

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